

Module 10

Business and

Company Law

Answers

The suggested answers are longer than what candidates are expected to give in the examination. The purpose of the suggested answers is meant to help candidates in their revision and learning. The suggested answers may not contain all the correct points and candidates should note that credit will be awarded for valid answers which may not fully covered in the suggested answers.

WRITTEN QUESTIONS (Total: 100 marks)

Answer 1(a)

This question required the candidates to discuss the rule that consideration only needs to be sufficient but not adequate.

Consideration can be defined as something which is given in exchange for something else under the contract.

Under the law of contract, consideration is a benefit which must be bargained for between two parties and it must be something of value (at least to the parties).

Consideration is an essential element of a valid contract and can take various forms such as monetary payment, promise to do something, or promise to refrain from doing something.

For most contracts, consideration must be reciprocal. A bare or gratuitous promise without provision of consideration is not enforceable.

As regards the value of the consideration provided by the parties, it must be sufficient although it need not be adequate.

This means that the value given by one party must have some economic value in the eyes of the law, but it need not be of equivalent value to that which is given by the other party.

The market value of the Sculpture is HK\$100,000 as reflected in the price set by Mr Smart on behalf of Tommy. The price of HK\$60,000 is 40% below the market value of the Sculpture. It is not adequate consideration as it is not equivalent to the market value of the Sculpture. However, the price of HK\$60,000 definitely has economic value in the eyes of the law. It is a sufficient consideration and therefore valid consideration.

Answer 1(b)

This question required the candidates to discuss the revocation of offer.

The general rule regarding the revocation of offer is that an offer can be revoked/ withdrawn at any time before it is accepted by the offeree even though the offeror has promised to keep it open for a specified period of time.

The exception to this rule is when the offeree provides consideration, for example, by making a deposit, for holding the offeror to his/ her promise to keep his/ her offer open for a specified period of time.

To be effective, any revocation of offer must be communicated to the offeree.

As Tommy has sent an email to Millie before her acceptance of his offer, he has communicated the revocation of his offer to Millie.

Since Millie has not provided consideration in any form for holding Tommy to his promise to keep his offer open until 5:00 p.m. the following day, Tommy is not bound to keep his offer open until 5:00 p.m. the following day.

Answer 1(c)

This question required the candidates to discuss past consideration.

Past consideration can be defined as a promise or an act made by one party (the promisor) after the other party (the promisee) has already performed his/ her obligation.

The general rule is that past consideration is not good consideration.

Consideration is an essential element of a valid contract, and consideration given by each party must be included in a contract, i.e., provided when the contract is entered into between the parties.

In the landmark case *Roscorla v Thomas [1842] 3 QB 234*, the plaintiff bought a horse from the defendant. After this transaction had been completed, the defendant promised the plaintiff that the horse was sound and free from vice. When the plaintiff later found that the horse was in fact not sound, the plaintiff instituted proceedings against the defendant for breach of contract. It was held that the plaintiff did not provide consideration for the defendant's promise that the horse was sound. Therefore, the payment for the horse in the previous sale would be deemed to be past consideration, and therefore, not good consideration.

As Lily's promise of the gift of a crocodile leather wallet was given after Tommy's payment for the leather briefcase had been made, the payment for the leather briefcase was past consideration which was not good consideration for Lily's promise of the free gift of a crocodile leather wallet.

Therefore, Elegant Goods is not bound to give Tommy the free gift of a crocodile leather wallet.

Answer 2(a)

This question required the candidates to discuss summary dismissal.

Summary dismissal refers to an employer's immediate termination of an employee's contract without notice or payment in lieu of notice on the grounds of serious misconduct committed by the employee.

Under s.9, an employer can dismiss an employee summarily on the following grounds:

- (i) The employee is habitually neglectful of his/ her duties.
- (ii) The employee wilfully disobeys a lawful and reasonable order.

- (iii) The employee conducts himself/ herself in such a way which is inconsistent with the due and faithful discharge of his/ her duties.
- (iv) The employee is guilty of fraud or dishonesty.

Billy's act of forging invoices for food items which were not ordered or delivered and depositing funds paid by his employer GTL into his own bank account is clearly a fraudulent act. Therefore, Billy can be summarily dismissed by GTL.

Note: Unless otherwise stated, the references to the above provision(s) are made to the Employment Ordinance (Cap.57).

Answer 2(b)

This question required the candidates to discuss anti-corruption laws.

The Prevention of Bribery Ordinance (Cap.201) aims to combat corruption. The key section which deals with corrupt transactions with agents is s.9.

S.9(1):

Any agent who, without lawful authority or reasonable excuse, solicits or accepts any advantage as an inducement to or reward for or otherwise on account of his/ her doing or forbearing to do, or having done or forborne to do, any act in relation to his/ her principal's affairs or business shall be guilty of an offence.

S.9(2):

Any person who, without lawful authority or reasonable excuse, offers any advantage to any agent as an inducement to or reward for or otherwise on account of the agent's doing or forbearing to do, or having done or forborne to do, any act in relation to his/ her principal's affairs or business shall be guilty of an offence.

S.9(3):

Any agent who, with intent to deceive his/ her principal, uses any receipt, account or other document in respect of which the principal is interested; and which contains any statement which is false or erroneous or defective in any material particular; and which to his/ her knowledge is intended to mislead the principal, shall be guilty of an offence.

The maximum penalty for committing an offence under s.9 is seven years' imprisonment and a fine of HK\$500,000.

Billy's act of forging documents to mislead his employer into believing that he had purchased food items which were not ordered or delivered is clearly a fraudulent act intended to deceive GTL, i.e. his employer/ principal.

Therefore, Billy is liable for a criminal offence under s.9(3).

Note: Unless otherwise stated, the references to the above provision(s) are made to the Prevention of Bribery Ordinance (Cap.201).

Answer 2(c)

This question required the candidates to discuss the employee's entitlement to long service payment under the Employment Ordinance (Cap.57).

Under s.31R, an employee is entitled to long service payment if:

- (i) He/ she has been employed under a continuous contract for not less than five years of service at the relevant date.
- (ii) He/ she is dismissed and his/ her employer is not liable to pay him a severance payment.
- (iii) He/ she has reached 65 years of age and has been employed under that contract for not less than five years.
- (iv) He/ she has terminated his/ her contract upon being certified as being permanently unfit for a particular type of work.

Fanny has worked for her employer, GTL, as General Manager for seven years. Therefore, she fulfils requirement (i) of having been employed under a continuous contract for not less than five years.

Fanny has worked for GTL for more than seven years and has recently been certified by a qualified medical practitioner to be suffering from dementia and has been advised that she would no longer be fit for discharging her duties as the General Manager of GTL. Therefore, she fulfils requirement (iv) under s.31R, i.e., termination of her contract upon being certified as being permanently unfit for a particular type of work.

Therefore, Fanny will probably be entitled to long service payment if she resigns from her position of General Manager and goes into retirement.

Note: Unless otherwise stated, the references to the above provision(s) are made to the the Employment Ordinance (Cap.57).

Answer 3(a)

This question required the candidates to discuss the different ways to create an agency relationship.

Agency can be created in four ways:

- (i) By express appointment made orally or in writing;
- (ii) By the principal's subsequent ratification or confirmation of the contract entered into by the agent acting without or in excess of his/ her authority with a third party;

- (iii) By necessity whereby the agent, without any prior agreement with or authorisation of the principal, acts in good faith and for the benefit of the principal in a situation of genuine emergency and it is impossible for the agent to obtain the principal's instructions before the act is done; or
- (iv) By estoppel whereby the principal has made certain representations by words or conduct which have the effect of misleading a third party into believing that the agent has the authority to enter into contracts on the principal's behalf and the third party has acted in reliance on this authority.

Answer 3(b)

This question required the candidates to discuss whether GDL is liable to pay for the antique racing car.

Michelle is employed by GDL as a trainee and Robert specifically told Michelle not to purchase any vehicles without his express permission. When Michelle placed an order for the antique racing car at Mr Richman's car show, she acted without actual or apparent authority.

When Robert learned about Michelle's unauthorised act, Robert did not object to the purchase but decided to resell it to Mrs Noble instead. Robert's decision to resell the antique racing car to Mrs Noble amounted to a retrospective approval of, and hence a ratification of, Michelle's unauthorised act.

The essential elements of ratification are:

- (i) The agent must have acted on behalf of the principal without actual or apparent authority.
- (ii) The principal must have had knowledge of the material facts relating to the agent's act.
- (iii) The principal must have approved or adopted the agent's act.

Robert's act of reselling the antique racing car to Mrs Noble fulfils the requirements for ratification.

When Robert ratified Michelle's unauthorised act, he assumed liability for Michelle's act and Michelle was relieved of any personal liability for her act.

Therefore, GDL is likely liable to pay Mr Richman for the antique racing car.

Answer 3(c)

This question required the candidates to discuss the rules regarding the passing of title and risk in the sale of goods.

The general principle of *nemo dat quod non habet* applies. This principle essentially means that no one can pass a better title than he/ she has. This common law principle "where goods are sold by a person who is not the owner of thereof, and who does not sell them with the authority of or with the consent of the owner, the buyer acquires no better title to the goods than the seller had ..." is set out in s.23(1).

The sale of goods usually takes place between the buyer and the owner of the goods or by his/ her authorised agent. The principle of *nemo dat quod non habet* comes into play when a seller sells goods which he/ she does not have any right to sell, for instance, if the goods sold by the seller are stolen goods.

The seller who sells stolen goods cannot pass a better title than he/ she has. In accordance with this principle and s.23(1), the buyer acquires no legal title, and the true owner can recover the goods (or its monetary value) from the buyer, notwithstanding the fact that he/ she is a *bona fide* purchaser.

However, there are exceptions to the *nemo dat quod non habet* principle, both under common law and under the Sale of Goods Ordinance (Cap.26) (SOGO). One of these exceptions is market overt.

S.24(1) states that "Where the goods are openly sold in a shop or market in Hong Kong (in the ordinary course of business of that shop or market), the buyer will acquire good legal title to the goods, provided that he bought them in good faith and without any knowledge of the seller's defect in legal title to them."

Being a regular customer who had bought the five-seater sedan from GDL, a well-established car dealer with a good reputation, April was surprised to hear from the police that the five-seater sedan was stolen goods. Therefore, April had probably bought the five-seat sedan in good faith without knowing it was stolen goods. By relying on the exception of market overt, April, who had bought the five-seater sedan from a shop, will probably have acquired valid ownership of the goods. This means that the true owner would probably not be able to successfully sue her for the return of five-seater sedan (or its equivalent value).

Therefore, April likely does not have to surrender the five-seater sedan to its true owner.

Note: Unless otherwise stated, the references to the above provision(s) are made to the SOGO.

Answer 4(a)

This question required the candidates to discuss and analyse whether TCC is liable to Mrs Gold, who has purchased shares of HFL, for negligent misstatement.

When a professional is in a legal relationship with a client which arises from a contract, he/ she also owes a concurrent duty of care towards his/ her client in tort.

In the case *Caparo Industries Plc v Dickman* [1990] UKHL 2, the accounts prepared by the chartered accountants who were auditors of a public limited company turned out to be inaccurate and misleading. Caparo Industries Plc ("Caparo") purchased shares of the public company in reliance on the accounts and sustained losses. Subsequently, Caparo sued the accountants for negligent misstatement.

In the case of *Caparo*, it was held that no duty was owed unless the criteria of the three-stage test were satisfied. These criteria were:

- (i) Foreseeability of harm;
- (ii) Existence of a relationship of sufficient proximity; and
- (iii) Whether it is fair, just, and reasonable to impose such a duty.

In relation to existing shareholders, it was held that the accountants owed them a duty of care to ensure that the contents of the audit report were accurate to enable them to exercise their rights and make decisions as to the governance of the company and related future investments.

The court further held that for there to be a duty of care, the three factors (i.e. proximity, knowledge of who the audit report would have been communicated to, and for what purposes it would have been used) had to exist.

Imposing a duty of care on the accountants would require that there had to be knowledge that the shareholders or investors would rely on the audit report in regard to the transaction.

Therefore, the accountants in the *Caparo* case owed no duty to the entire public contemplating investment as they might or might not place reliance on the audit report when making financial decisions.

As Michael and Albert did not tell TCC the real purpose for which they had commissioned the compiling of the business valuation report and TCC likely had no idea of who might rely on the business valuation report when making investment decisions, Mrs Gold is most likely unable to hold TCC liable for the over-valuation of the assets and profitability of the business of HFL.

Answer 4(b)

This question required the candidates to discuss what the different kinds of charges are and how valid charges can be created.

A debenture is an instrument which evidences and acknowledges indebtedness of a company.

Under s.2, debenture refers to, in relation to a company, includes debenture stock, bonds, and any other debt securities of the company, whether or not constituting a charge on the assets of the company.

In practice, a debenture typically creates a fixed or floating charge over the assets of the company.

A fixed charge is a charge over specific assets of the borrower (chargor), such as land and buildings, which are not disposed of in the ordinary course of business.

Upon the creation of a fixed charge, the borrower cannot deal the charged asset(s) without the consent of the lender (chargee).

A fixed charge is typically created over specific assets of the company such as land, shares, or equipment put out for hire which are income generating and are not disposed of in the ordinary course of business.

In a recent case, *Re Avanti Communications Ltd (in administration) [2023] EWHC 940 (Ch)*, it was held that as regards income generating assets such as land, shares, and equipment put out for hire, a charge is a fixed charge if the charged asset has to be preserved for the benefit of the chargee and not at the free disposal of the chargor although the income generated by the charged assets is at the disposal of the chargor. The charge is a fixed charge if the chargee is given significant control over the charged asset and the chargor is unable to deal with the charged asset in the ordinary course of its business.

As for floating charges, a floating charge can be created over all the assets or a class of assets owned by the borrower (chargor) which may fluctuate and change from time to time, such as trading stocks and book debts, including future assets.

Under a floating charge, the borrower (or chargor) enjoys the advantage of being able to continue to deal with/ dispose of its assets in the ordinary course of business before crystallisation of the charge.

On crystallisation, the charge converts to a fixed charge and attaches to all the charged assets currently owned by the borrower (or acquired afterwards), and the borrower loses the right to deal with those assets.

The main three characteristics are described in the case *Re Yorkshire Woolcombers Association [1903] 2 Ch 284*:

- (i) It is a charge on a class of assets of a company, present and/ or future.

- (ii) That class is one which in the ordinary course of the business of the company would be changing from time to time, including property acquired after the creation of the charge.
- (iii) Until the holders of the charge enforce it, the company may deal with the particular class of assets to carry on its business in the ordinary way without the chargee's control.

In *Re Spectrum Plus Ltd* ([2005] 2 AC 680 [2005] UKHL 41 [2005] All ER (D) 368 (Jun)), it was held by the House of Lords that the charge is floating if the chargor is free to remove the charged assets from the scope of the security, and use them for its own benefit in the course of its business at least until the charge crystallise.

As regards the creation of a valid charge, s.334 stipulates that charges of a company need to be registered, e.g. a charge over land or any interest in land, the undertaking or property of the company, must be registered.

Under s.335, a company must deliver a statement of the particulars of the charge, together with a certified copy of the instrument (if any) creating or evidencing the charge to the Registrar for registration within a month of the creation of the charges.

Failure to register a registrable charge renders the charge void against any liquidator and creditor of the company (s.337(4)).

Note: Unless otherwise stated, the references to the above provision(s) are made to the Companies Ordinance (Cap.622).

Answer 5(a)

This question required the candidates to discuss and analyse what constitutes unfair prejudicial conduct, and analyse whether Venessa is entitled to petition to the court for unfair prejudice remedies under s.724.

S.724 provides that the court may exercise the power to provide relief, on a petition by a member of a company, if it considers that:

- (i) The company's affairs are being or have been conducted in a manner unfairly prejudicial to the interests of the members generally or of one or more members (including the member); or
- (ii) An actual or proposed act or omission of the company (including one done or made on behalf of the company) is or would be so prejudicial.

The essential elements of unfairly prejudicial conduct are:

- (i) The interest adversely affected must be that of a member in his/ her capacity of being a member but not in any other capacity such as an employee; and
- (ii) The conduct complained of must be unfair.

In the case of *O'Neill v Philips [1999] 1 WLR 1092 (HL)*, the petitioner O'Neill (O), who was formerly an employee, was given 25% of the shares by Philips (P), who initially owned all the shares of his company. It was hoped that O would subsequently take over the running of the business. At some point, there were discussions about O obtaining a 50% shareholding. However, there was never any concluded agreement for the allocation of more shares to O and no allocation of more shares to O was made.

O petitioned to the court for the winding-up of the company, alleging that company's affairs were conducted in a manner "unfairly prejudicial" to O's interests. O's petition was dismissed. It was held that there was no prejudicial conduct on the part of P because P did not remove O from participation in the management of the business and O had remained a director. O was therefore not entitled to have his shares bought out by P.

Remedies for unfair prejudicial conduct as set out in s.725 which provides that the court may make an order:

- (i) restraining the conduct or the continuance of the conduct of the company's affairs in the manner mentioned in the petition with reference to s.724(1)(a);
- (ii) that proceedings that the court thinks fit be brought in the company's name against any person, and on any terms, that the court so orders;
- (iii) that the court thinks fit for regulating the conduct of the company's affairs in the future, for the purchase of the shares of any member of the company by another member of the company; or for the purchase of the shares of any member of the company by the company and the reduction accordingly of the company's capital, or for any other purpose;
- (iv) that the company or any other person pay any damages, and any interest on those damages, that the court thinks fit to a member of the company whose interests have been unfairly prejudiced by the conduct of the company's affairs or by the act or omission.

Venessa's situation is similar to that of O'Neil in the case of *O'Neill v Philips [1999] 1 WLR 1092 (HL)*. Although Venessa failed to achieve the turnover target set by Benedict and her performance declined due to depression, she remained a director of GWL and was not removed from participation in the management of GWL.

Therefore, Venessa is likely not entitled to petition to the court under s.724(1)(a) on the grounds that the affairs of GWL were conducted in an unfairly prejudicial manner.

Note: Unless otherwise stated, the references to the above provision(s) are made to the Companies Ordinance (Cap.622).

Answer 5(b)

This question required the candidates to discuss the grounds for winding up a company under s.177(1).

Under s.177(1), a company may be wound up by the court if:

- (i) The company has by special resolution resolved that the company be wound up by the court.
- (ii) The company does not commence its business within a year from its incorporation, or suspends its business for a whole year.
- (iii) The company has no members.
- (iv) The company is unable to pay its debts.
- (v) The event, if any, occurs on the occurrence of which the articles provide that the company is to be dissolved.
- (vi) The court is of opinion that it is just and equitable that the company be wound up.

Note: Unless otherwise stated, the references to the above provision(s) are made to the Companies (Winding Up and Miscellaneous Provisions) Ordinance (Cap.32).

Answer 5(c)

This question required the candidates to discuss the law in respect of shareholders' petition to wind up a company on just and equitable grounds.

The only ground which Venessa would choose to rely on to petition to the court for the winding-up of would probably be just and equitable ground under s.177(1)(f) of Cap.32 because she contended that Benedict did not treat her fairly after Benedict had refused to increase her shareholding to 50%.

The meaning of "just and equitable" is not defined in Cap.32, but there are a number of established cases in which a winding-up order has been granted or not granted on just and equitable ground.

There is one type of such cases where the company has been run and managed as a quasi-partnership whereby the petitioner had a reasonable expectation to be able to participate in the operation and management of the company on the basis of an agreement or common understanding between him/ her and other members but such expectation had been frustrated.

In the case of *Ebrahimi v Westbourne Galleries Ltd* [1973] AC 360, Mr Ebrahimi (E) and Mr Nazar (N) incorporated and initially ran the company together like a quasi-partnership. Subsequently, GN, the son of N, was made a director. Both E and N transferred to GN an equal number of shares of 100 so that N and GN, father and son, had a majority of the votes in general meetings. After having fallen out with N and GN, E was removed from his directorship. E then petitioned to the court for the winding-up of the company on "just and equitable" ground.

It was held that E had been excluded from the management of the company against his reasonable expectations. As the company was a small company and E was unable to effectively dispose of his interest in the company, the court made a winding-up order on just and equitable ground.

However, Venessa's situation was similar to the case of *O'Neill v Phillips* [1999] 1 WLR 1092 (HL) because she was not removed from her directorship and was not prevented from participation in the management of the company.

Therefore, Venessa will likely not be entitled to petition to the court for the winding-up of the company.

Answer 6(a)

This question required the candidates to discuss the obligation of shareholders of a listed company to disclose their interest in the shares of that listed company.

Under Part XV of the Securities and Futures Ordinance (Cap.571), certain categories of persons are required to disclose the interest in the shares they hold in a listed company. In general, such persons include: (i) substantial shareholders (s.310) and (ii) directors and chief executives of a listed company (ss.341 to 351).

Under s.310, a person has the obligation to disclose to Hong Kong Stock Exchange ("SEHK") and the listed company concerned when he/ she acquires or ceases to have a notifiable percentage interest in shares and when there are changes in his/ her percentage interest.

Under s.315(1), the notifiable percentage level for substantial shareholders shall be construed as a reference to is 5%. Under s.315(2), the specified percentage level for substantial shareholders should be construed as a reference to is 1%.

Under s.316, a person is deemed to be interested in the interests of his/ her spouse and minor children.

As for directors and chief executives requiring disclosure of interests in any shares of a listed company, there is no disclosure threshold and, therefore, all interests must be disclosed, however small.

As Nicolas is the Chief Executive Officer of VEL, he must disclose his interest in the shares of VEL to SEHK and VEL although he owns less than 5% of the shares of VEL.

Nicole, who owns 5% of the shares of VEL, has the obligation to disclose her interest in VEL to SEHK and VEL. As Nicole is deemed to be interested in the interests of her husband, her husband's interest in the shares of VEL, namely 1% on the shares of VEL, must be added in calculating the number of shares in which they are interested.

Note: Unless otherwise stated, the references to the above provision(s) are made to the Securities and Futures Ordinance (Cap.571).

Answer 6(b)

This question required the candidates to discuss the circumstances under which a shareholder of a listed company must disclose his/ her interest in that listed company.

Under s.310, disclosure is required on the occurrence of any of the following events which are set out in s.313:

- (i) The person has a notifiable interest immediately after the relevant time, but did not have a notifiable interest immediately before the relevant time;
- (ii) The person had a notifiable interest immediately before the relevant time, but does not have a notifiable interest immediately after the relevant time;
- (iii) The person had a notifiable interest immediately before the relevant time, and has a notifiable interest immediately after the relevant time, but the percentage levels of his/ her interest immediately before and immediately after the relevant time are not the same; or
- (iv) The person had a notifiable interest immediately before the relevant time, and has a notifiable interest immediately after the relevant time, but the nature of his/ her interest (or part thereof) immediately before and immediately after the relevant time is not the same.

The term "relevant time" as defined in s.308 means the time of the occurrence of the "relevant event". The term "relevant event" is defined in the same section in detail.

Note: Unless otherwise stated, the references to the above provision(s) are made to the Securities and Futures Ordinance (Cap.571).

* * * END OF EXAMINATION PAPER * * *